



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
980 9th Street, Suite 500
Sacramento, CA 95814
Phone: 916-324-8176 | Fax: 916-255-5241
www.DMHC.ca.gov

March 19, 2026

VIA ELECTRONIC MAIL

Karen Choate
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Proposed Contract Termination with Santa Clara Valley Medical Center
Block Transfer Filing No. 2026-HOSP-281
Filed on March 19, 2026

Dear Ms. Karen Choate:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Santa Clara Valley Medical Center** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.
2. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.
3. Please confirm whether the hospital termination is part of a health system termination. If yes, please confirm the health system and whether the contract is a stand-alone contract.

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4. The pending contract termination impacts 50,000 or more enrollees. Please submit the relevant portions of the Provider Contract(s) that relate to continuity of care and transition of care.
5. Please confirm whether the contract termination between the Plan and Santa Clara Valley Medical Center impacts Point of Service (POS) enrollees.
6. The Plan indicates that Tertiary or Quaternary Care Services are available at the Terminating Hospital. Please confirm which Alternate Hospital(s) provides each service(s).
7. The Plan indicates that Burn Services are available at the Terminating Hospital and indicates all Alternate Hospitals offer some level of burn services. Please note that Burn Services refers to the hospital being recognized as a "Burn Center." Please confirm if any Alternate Hospital(s) are Burn Centers.
8. The Plan indicates that Cancer services are available at the Terminating Hospital. Please specify which Cancer services are available at the Terminating Hospital and confirm which Alternate Hospital(s) provides each service(s).
9. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.
10. For each affected provider group that primarily utilizes the Terminating Hospital, please summarize or confirm the following:
 - a. The ability of the provider group to redirect enrollees to the Alternate Hospitals:
 - i. Whether there is any specialty for which all of the associated specialists have admitting privileges **only** at the Terminating Hospital and not at any of the Alternate Hospitals,
 1. If yes, please identify the specialty and explain how Plan enrollees assigned to the provider group will receive care and services for that specialty following contract termination.
 - ii. If the provider group does not have any primary care physicians or specialists with admitting privileges to one or more Alternate Hospitals, please explain how its assigned enrollees will be admitted to the Alternate Hospital(s) (e.g. via hospitalists, Plan admission process, etc.).
 1. If hospitalists are utilized, please indicate:
 - a. The name of the group,

- b. The number of associated hospitalists, and
 - c. If the hospitalists can admit enrollees for any medically necessary services.
- 11. On the Block Transfer Filing form, in the Filing Info section, the Plan indicated there were 11 bed days utilized and 6 admits at the Terminating Hospital for the most recently completed Calendar Year. However, the Plan indicated in its Narrative that **Santa Clara IPA** utilized 3 bed days, and 2 non-ER admits. Please confirm the following:
 - a. The total number of bed days used, and
 - b. The number of non-ER admits
- 12. For each Alternate Hospital, please summarize or confirm the following:
 - a. The Plan contacted the hospital regarding the Block Transfer,
 - b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer,
 - c. Whether the Plan has sent or received a notice of contract termination from the Alternate Hospital, and if so, whether that contract is set to terminate within the next six months.
- 13. The Plan included Lucile Packard Children's Hospital Stanford and Washington Hospital-Fremont as Alternate Hospitals in this filing; however, these hospitals were not included as Alternate Hospitals for Pathway EPO Exchange Network. Please confirm whether Lucile Packard Children's Hospital Stanford and Washington Hospital-Fremont are Alternate Hospitals for Pathway EPO Exchange Network.
- 14. Please confirm whether the HMO providers that routinely utilize the Terminating Hospital have adequate admitting privileges for PCPs and specialists to at least one of the identified Alternate Hospitals containing all services that will be lost should the contract ultimately terminate.
- 15. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.
- 16. Please confirm the medical groups that do not utilize the Terminating Hospital as a primary hospital, but have admitted enrollees for the most recently completed

calendar year, are able to refer their enrollees to other hospitals within the Plan's network for services comparable to those provided by the Terminating Hospital.

17. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.
18. Please affirm that the Alternate Hospitals for the Plan's Narrow Networks meet the Knox-Keene Act's geographic access standards and/or Department approved alternative access standards.
19. Please confirm whether the provider group(s) in this Block Transfer Filing are facing potential contract termination(s) within six months. In addition, if the Plan is required to file a Block Transfer Filing for any of the provider group(s), please provide the name of the provider group and the filing number of each Block Transfer Filing.

Please submit the Plan's response by **March 26, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,

A handwritten signature in blue ink that reads "Cindy Nguyen". The signature is written in a cursive, flowing style.

Cindy Nguyen
Analyst II
Office of Plan Monitoring